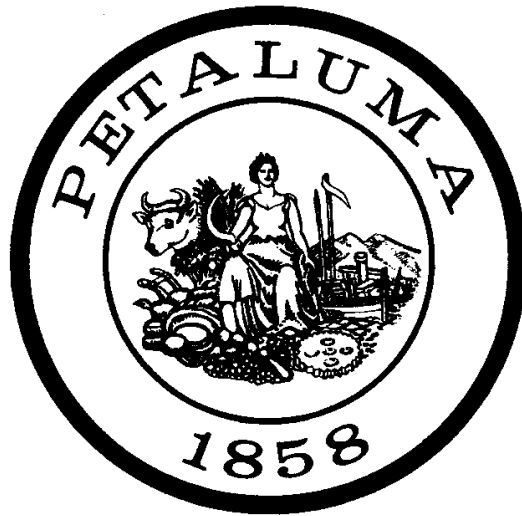




CITY OF PETALUMA, CALIFORNIA

ANNUAL DEVELOPMENT IMPACT FEE REPORT

FISCAL YEAR 2024-25

City of Petaluma
Annual Development Impact Fee Report
Fiscal Year 2024-25

Background

The Mitigation Fee Act, Government Code §§66000 *et seq.* (the “Act”), governs the establishment and administration of development impact fees paid by development projects which defray all or a portion of the cost of public facilities related to those projects. Fees must be separately accounted for and used for the specific purpose for which they are imposed. The City's adopted development impact fees are listed in the attached exhibits. Expenditures of collected fees are generally authorized through the annual Capital and Operating Budgets and the City's Capital Improvement Program. The annual adopted City Budget is on file with the City Clerk and located on the City’s website: <https://cityofpetaluma.org/city-budgets/>

Annual and Five-Year Development Fee Reporting

The Act requires that the City prepare an annual report on all of its development impact fees after the end of each fiscal year. Government Code section 66006(b)(2) requires the annual report to be reviewed by the City Council at its next regular meeting not less than 15 days after the report is made available to the public. This Fiscal Year 2024-2025 annual report (“Report”) was made available to the public on the City of Petaluma website on November 25, 2025, posted at City Hall, and a copy of the Report also was mailed to all persons who had requested mailed notice relating to city fees on November 25, 2025.

Excluded from this Report are developer fees which are not subject to the reporting requirements of the Act. For example, the City collects the following fees pursuant to the City's zoning powers rather than pursuant to the Act: in-lieu housing fees, commercial linkage fees (which are the non-residential equivalent of the in-lieu housing fees), public art in-lieu fees, and the fee related to the Central Petaluma Specific Plan area. Water capacity fees and wastewater capacity fees also are not development impact fees as defined in Sections 66006 and 66001 of the Act. Finally, the Quimby Act parkland acquisition fee for residential subdivisions is imposed pursuant to the Subdivision Map Act (Gov't. Code §66477) and is also not included in the Act’s reporting requirements.

The Storm Drainage Fee was last updated in 1986, prior to the January 1, 1989 effective date of AB1600, but is nevertheless included in this Report for informational purposes.

The City Council is also required to adopt by resolution certain findings for any fund accounts which contain unexpended funds as of the fifth fiscal year following the first deposit into those funds and every five years thereafter. (Gov't. Code §66001(d).) In FY 24-25, no impact fee funds fell into this category and therefore this Report does not contain information required to make the Five-Year Findings and the City will not be adopting a Five Year Findings resolution.

The report is organized as follows:

Exhibit A: A brief description of each development impact fee, its purpose, and its authorizing legislation (Gov't. Code §66006(b)(1)(A).)

Exhibit B: Summary of the July 1, 2024 beginning balance, annual fee revenue collected, interest earned, returned unused funds from projects and loan repayments, identification of public improvements on which fees were expended, percentage of the improvements funded by fees, and the ending balance as of June 30, 2025 for each fee (Gov't. Code §66006(b)(1)(C)-(E).) Excess funds from capital project funds were returned to the originating revenue funds.

Exhibit C: Identifies the amount of each development impact fee. (Gov't. Code §66006(b)(1)(B).)

Exhibit D: Identifies interfund loans, transfers, refunds or reallocation of funds in lieu of refunds in Fiscal Year 2024-2025 (Gov't. Code §66006(b)(1)(G)-(H)).

City of Petaluma
Development Impact Fee Summary

Fee #		Impact Fee Name	Fee Authority	Brief Description of the Type of Fee
1		Parkland Acquisition Fee	Reso. 2022-182 N.C.S; Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2014-038 N.C.S., March 3, 2014; Reso. 2012-124 N.C.S., August 27, 2012; Reso. 2008-092 N.C.S., May 19, 2008	The Parkland Acquisition Fee is imposed on development projects that are <i>not</i> subject to the Quimby Act. It funds acquisition of and payment for parkland necessary to maintain the standard established in the city's General Plan, based on a ratio of parkland acreage to population, including employees of new commercial development, as new residents and employees are added by new development.
2		Parkland Development Impact Fee	Reso. 2022-182 N.C.S; Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2016-160 N.C.S; October 3, 2016; Reso. 2014-037 N.C.S., March 3, 2014; Reso. 2012-122 N.C.S., August 27, 2012; Reso. 2008-093 N.C.S., May 19, 2008	The Parkland Development Fee funds public facilities which improve neighborhood and community parklands as needed to serve new development.
3		Open Space Acquisition Impact Fee	Reso. 2022-182 N.C.S; Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2014-039 N.C.S., March 3, 2014; Reso. 2012-123 N.C.S., August 27, 2012; Reso. 2008-091 N.C.S., May 19, 2008	The Open Space Acquisition Fee funds acquisition of and payment for open space necessary to maintain the city's standard established in its General Plan based on a ratio of open space acreage to population, including employees of new commercial development, as new residents and employees are added by new development.
4		City Facilities Development Impact Fee	Reso. 2022-182 N.C.S; Reso. 2020-009 N.C.S, January 6, 2020; Reso. 2014-036 N.C.S., March 3, 2014; Reso. 2012-121 N.C.S., August 27, 2012	The City Facilities Development Impact Fee funds design, engineering, right-of-way and reasonable costs of outside consultant studies related thereto, reimburse the City for the Facilities constructed by the City with funds from other sources including funds from other public entities, reimburse developers who have designed and constructed any of the facilities with prior City approval and have entered into an agreement and pay for and/or reimburse costs of program development and ongoing

				administration and maintenance for the Fee program, including, but not limited to, the cost of studies, legal costs, and other costs of updating the Fee.
5		Storm Drainage Impact Fee	Ord. 1530 N.C.S., eff. Sept. 20, 1982; Ord. 1653 N.C.S., eff. June 2, 1986 (Petaluma Municipal Code Chapter 17.30); Reso. 9751 N.C.S., June 2, 1986	The Storm Drainage Impact Fee funds the construction of storm drainage improvements needed to control increases in run-off created by new development projects. The Storm Drainage Impact Fee was adopted and last updated before the enactment and effective date of AB1600, but is included in this report for informational purposes.
6		Traffic Development Impact Fee	Reso. 2022-182 N.C.S; Reso. 2020-009 N.C.S, January 6, 2020; Reso.2016-76 N.C.S. May 16, 2016 Reso 2015-191 N.C.S., Dec 7, 2015; Reso 2014-112 N.C.S., July 7, 2014 Reso. 2014-040 N.C.S., March 3, 2014; Reso. 2012-125 N.C.S., August 27, 2012; Reso. 2008-095 N.C.S., May 19, 2008	The Traffic Development Impact Fee funds construction and implementation of improvements to key elements of the citywide transportation system sufficient to accommodate future traffic demand generated by new development.

Development Impact Fee Report

Fiscal Year 2024-2025

		Fund Balance	Fee	Interest/Gain/Loss	Return Unused	Expenditures/	Est % funded	Ending Balance
Fund	Fund Title / Project Title	7/1/2024	Revenue	Revenue	Funds /loan repymt	Transfers	by Impact Fees	6/30/2025
2141	Parkland Acquisition Impact Fees -08	2,868,872.43	52,881.35	140,710.91		1,057.63		3,061,407.06
	City administrative costs					1,057.63	100.0%	
2142	Parkland Development Impact Fees -08	670,030.69	174,911.12	28,841.37		653,498.22		220,284.96
	c14402215 Lucchesi Skatepark					650,000.00	20.90%	
	City administrative costs					3,498.22	100.00%	
2143	Open Space Acquisition Impact Fees -08	700,324.20	12,423.25	28,334.28		250,248.47		490,833.26
	City administrative costs					248.47	100.0%	
	Kelly Creek Protection/Helen Putnam Park					250,000.00	100.0%	
2152	City Facilities Development Impact Fees	8,408,483.35	176,199.00	391,648.05		1,760,823.98		7,215,506.42
	c11202430 Library Roof Replacement					2,300.00	17.4%	
	c11501911 Reserve Apparatus Storage					311,000.00	14.8%	
	c11202433 Fire Station 1 Seismic Retrofit & Improv					435,000.00	14.8%	
	c11202434 Fire Station 2 Kitchen Replemnt & Renov					60,000.00	14.8%	
	c11502435 Temporary Fire Station					949,000.00	14.8%	
	City administrative costs					3,523.98	100.0%	
2155	Storm Drainage Impact Fees	2,495,496.98	-	121,683.80		334,188.61		2,282,992.17
	c16502254 Wilson Stormwater Pump Station Upgrades					334,000.00	68.8%	
	City administrative costs					188.61	100.0%	
2156	Storm Drainage Impact Fees -08	665,700.39	9,430.29	27,573.76		-		702,704.44
2160	Traffic Impact Fees	1,072,098.10	-	45,274.40		630,000.00		487,372.50
	c14502114 Lych Creek Trail					56,000.00	32.8%	
	c16102251 D Street Improvements					248,000.00	6.5%	
	c16102032 Pedestrian Improvements Citywide					245,000.00	32.7%	
	c16102433 Pet No Smart Station					76,000.00	17.5%	
	c16102537 St Francis Pavement Restoration					5,000.00	4.6%	
	City administrative costs					-		
2161	Traffic Impact Fees -08	33,122,333.12	315,138.69	1,614,895.38	-	6,302.77		35,046,064.42
	City administrative costs					6,302.77	100.0%	

FY 24/25 Development Impact Fee Schedule

FEE TYPE	LAND USE TYPE	FEE	UNIT OF MEASUREMENT
City Facilities Development Impact Fee	Single Family Residential	\$7,665	Unit
	Multifamily Residential	\$5,161	Unit
	Accessory Dwelling*	\$2,629	Unit
	Commercial	\$1,451	1,000 sq ft of building space
	Office	\$1,386	1,000 sq ft of building space
	Industrial	\$883	1,000 sq ft of building space
Commercial Development Housing Linkage Fee	Commercial	\$3.47	Square Foot
	Retail	\$6.00	Square Foot
	Industrial	\$3.57	Square Foot
Open Space Acquisition Fee	Single Family Residential	\$539	Unit
	Multifamily Residential	\$361	Unit
	Accessory Dwelling*	\$185	Unit
	Commercial	\$104	1,000 sq ft of building space
	Office	\$98	1,000 sq ft of building space
	Industrial	\$63	1,000 sq ft of building space
Park Land Acquisition Fee (Quimby and Non-Quimby Act Projects) ^(A)	Single Family Residential	\$2,293	Unit
	Multifamily Residential	\$1,551	Unit
	Accessory Dwelling*	\$787	Unit
	Commercial	\$435	1,000 sq ft of building space
	Office	\$415	1,000 sq ft of building space
	Industrial	\$264	1,000 sq ft of building space
Park Land Development Impact Fee	Single Family Residential	\$7,585	Unit
	Multifamily residential	\$5,107	Unit
	Accessory Dwelling*	\$2,601	Unit
	Commercial	\$1,437	1,000 sq ft of building space
	Office	\$1,374	1,000 sq ft of building space
	Industrial	\$876	1,000
Traffic Development Impact Fee	Single Family Residential	\$19,276	Unit
	Multifamily Residential	\$11,833	Unit
	Accessory Dwelling*	\$5,344	Unit
	Senior Housing	\$5,152	Unit
	Office	\$25,463	1,000 sq ft of building space

FY 24/25 Development Impact Fee Schedule

FEE TYPE	LAND USE TYPE	FEE	UNIT OF MEASUREMENT
	Hotel/Motel	\$7,593	Room
	Commercial/Shopping	\$37,247	1,000 sq ft of building space
	Industrial/Warehouse	\$15,077	1,000 sq ft of building space
	Education	\$1,898	Student
	Institution	\$7,811	1,000 sq ft of building space
	Gas/Service Station	\$62,355	Fuel Position
Wastewater Capacity Fee ^(B) ^(C)	Single Family Residential	\$10,737	Unit
	Multifamily Residential	\$7,109	Unit
	Accessory Dwelling*	\$3,952	Unit
	Non-Residential	\$22.76	Per gallon daily flow
	Customers	\$5,171	Per daily pound of BOD
		\$5,928	Per daily pound of TSS
Water Capacity Fee (per meter size)	METER SIZE		
	¾	\$5,228	
	1" (residential)	\$5,228	
	1" (non-residential)	\$8,728	
	1 ½	\$17,403	
	2"	\$27,856	
	3"	\$52,262	
	4"	\$87,121	
	6"	\$172,463	
	>6	Case by Case basis	

*Accessory dwelling units less than 750 square feet are exempt from development impact fees. For accessory dwelling units exceeding 34% of the square footage of a primary single-family dwelling or 51% of a primary multi-family dwelling, the ADU fees listed here shall apply. Accessory dwelling units not exceeding these thresholds, but over 750 square feet shall be prorated based on the proportion of the ADU size as it relates to the primary dwelling.

- (A) The Quimby Act applies only to fees and/or dedications imposed on certain subdivisions subject to the Subdivision Map Act to fund land acquisition costs for park or recreational purposes.
- (B) The wastewater capacity fee for non-residential users is based on the daily flow, biological oxygen demand and the total suspended solids of the wastewater being discharged. Please contact the Department of Public Works & Utilities' Environmental Services Division at 707-776-3777 for a quote.
- (C) Projects that add up to one ADU and one JADU to an existing single-family dwelling are exempt from the Wastewater Capacity Fee. This fee applies to ADUs only when constructed with a new single-family dwelling and subject to the prorated calculations noted above.

STORM DRAIN IMPACT FEE

Calculation of Fee

Runoff computation: The increase in runoff created by a given project is calculated for a 100-year storm, utilizing runoff coefficients based upon the portion of vegetated area to impervious surfaces, and expressed in acre-feet. Runoff coefficients are based upon the type of use, slope of the land, and percent of vegetation coverage.

Commercial/Industrial: Projects pay a fee of \$30,000 per acre foot of additional runoff. The amount of incremental runoff created is directly linked to the amount of landscaping provided. The maximum fee possible is \$9,000 per acre of land. This would apply to a project with 20% or less landscaping. A project with 25% landscaping can expect a fee of \$6,750 per acre, 30% would pay \$6,300 per acre, and so on.

Residential: Projects pay a fee of \$15,000 per acre foot of additional runoff. Incremental runoff is dependent upon the density of a project and the amount of landscaping and open space provided. A high-density project with 20% or less area in landscaping could expect to pay \$4,500 per acre. A type detached single-family subdivision would pay approximately \$1,500 per acre.

**Status of Interfund Loans, Transfers, Refunds or Reallocation of Funds
Fiscal Year 2024-25**

Interfund Loans

The Storm Drainage Impact Fee fund loaned the Storm Water Utility Operations fund \$690,230 to cover storm water maintenance costs from January 1, 2012 through June 30, 2013. Payment of principal and interest for FY 24-25 was \$46,664. The balance as of June 30, 2025 is \$201,097.20. This loan is scheduled to be repaid by June 30, 2030.

The City Facility Impact Fee fund loaned the Parks Capital Improvement fund \$315,881 for construction of a Tennis and Pickle Ball Court. Payment of principal and interest for FY 24-25 was \$38,890. The balance as of June 30, 2025 is \$200,362.22. This loan is scheduled to be repaid by June 30, 2030

There were no Transfers, Refunds or Reallocation of Funds during FY 24-25.